

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$107.72 ▲ 3.16%	12M Price Target \$130.00	52-Week Range \$63.52 – \$153.86	Market Cap \$96.85B
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HOOD: Tokenization Green Light Puts HOOD in Driver's Seat

WHAT HAPPENED

- The SEC just handed HOOD a big win — they issued guidance clearing the path for "tokenized stocks" (real stocks represented on a blockchain, tradeable 24/7). This matters because HOOD has been building exactly this product for a year, and it's why the stock bounced 3%+ today after getting hammered yesterday.
- The bigger story: this happened AFTER the "Clarity Act" (a broader crypto regulation bill in Congress) stalled — so the SEC just went ahead without Congress. That's unusual and signals the agency is friendlier to crypto/tokenization under this administration than most expected.

WHY IT MATTERS

Here's what this really means: HOOD just got a regulatory moat. They've already built tokenized stock infrastructure in Europe, so they can move fast in the US while Schwab and Fidelity scramble to catch up. Meanwhile, Mizuho's note today saying Coinbase's retail fees "look unsustainable" is basically Wall Street admitting HOOD's cheaper pricing is winning — expect COIN to be forced to cut fees, which is good for HOOD's competitive position. The combo of regulatory tailwind + competitor weakness + bullish options flow (calls outpacing puts 3-to-1) tells me smart money is positioning for this to break out above the recent \$114 high.

POLICY & POLITICAL WATCH

The Clarity Act (the big crypto market structure bill) faltering is actually a mixed bag — it would've given more legal certainty, but its failure pushed the SEC to act on their own, which happened faster and favors HOOD. Watch for two things: (1) whether Congress revives a slimmed-down version this fall, and (2) whether state regulators (especially NY and California) try to block tokenized trading, which would be a headwind. Also on the radar: any move to reintroduce a "payment for order flow" ban — that's how HOOD makes a huge chunk of its money, and it's been a political football for years.

IS IT EXPENSIVE?

At ~\$97B market cap on ~\$4.3B in expected 2026 revenue, investors are paying about \$22 for every \$1 of sales — that's rich versus Schwab (~\$6) but cheaper than Coinbase (~\$28). The forward P/E of ~58x (meaning \$58 for every \$1 of expected earnings) is expensive, but if tokenization opens up a genuinely new revenue stream, earnings could grow into it fast. Bottom line: not cheap, but the growth story justifies premium pricing IF execution stays strong.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$107.72
12M Price Target	\$130.00
Upside / (Downside)	+20.7%
Market Cap	\$96.85B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,400M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.55
Fwd P/E	58.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$120.00	\$110.00	\$95.00
6 Months	\$140.00	\$120.00	\$85.00
1 Year	\$165.00	\$130.00	\$78.00
2 Years	\$220.00	\$160.00	\$70.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$350.00	\$45.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.3% today) is leading as the SEC's crypto-friendly stance spills into fintech and blockchain-adjacent names. Anything tied to "tokenization" or digital assets got a bid today.

COOLING OFF: Utilities and defensive sectors are flat-to-down as money rotates out of safety into risk. Traditional exchanges (ICE, CBOE) are quietly under pressure as tokenization threatens their moat.

ROTATION WATCH: Money is flowing from legacy financial infrastructure into digital-native fintech — that's a direct tailwind for HOOD and a headwind for old-school brokerages who need to spend big to catch up.

RELATED PLAY: If tokenization takes off, the "picks and shovels" plays are custodians and blockchain infrastructure — think COIN (despite the fee pressure, they still custody a lot of assets) and companies like Galaxy Digital or even MSTR as a leveraged crypto proxy.

WHO'S WINNING IN THIS SPACE?

- SOFI (SoFi Technologies): Winning on cross-selling — customers who start with one product are adopting 3-4 others. That engagement flywheel is what HOOD is trying to replicate with retirement accounts and credit cards.
- COIN (Coinbase): Up despite the Mizuho warning because tokenization guidance lifts all crypto boats — but fee compression is a real medium-term problem for them.

HOOD CONTEXT: HOOD is leading the fintech pack today, but still ~30% below its 52-week high of \$154. That gap tells me there's room to run if catalysts keep landing — but it also means the stock has been volatile and can give back gains fast. Currently at 49% of its 52-week range, so neither cheap nor stretched.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Cautiously bullish. The regulatory setup is genuinely favorable and the competitive position is strengthening, but this is still a high-beta name that lives and dies with retail sentiment.

POSITION SIZE: 2-4% of portfolio. Big enough to matter if it runs, small enough that a 30% drawdown doesn't wreck your year.

ENTRY POINTS: I'd scale in — some at \$105-107 now, add on any dip to \$95-100. If it breaks \$95, back up the truck at \$85.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is US tokenized stock launch (likely Q4 2026 or Q1 2027) and Q3/Q4 earnings that show accelerating account growth.

WHEN TO BAIL: If crypto volumes crater 40%+, if Congress moves seriously on banning payment-for-order-flow, or if the CEO Vlad Tenev sells a big chunk of stock unexpectedly.

HEDGING: Simplest hedge — if you own \$10K of HOOD, own \$3-5K of a "boring" financial like JPM or SCHW. When HOOD rips, the boring one lags; when HOOD tanks on risk-off, the boring one holds up. Or buy 3-month put options at \$95 as cheap insurance.